



MARKET MONITOR

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No. 94 – December 2021

The year 2021 has not been easy for food markets given an abundance of uncertainties, from production to distribution and consumption. Prices kept climbing and even reached record highs for some crops, turning food inflation into a major concern, even in developed countries. Overall, markets continued to show their resilience, with global supplies remaining adequate and logistical bottlenecks proving short-lived. As pressures on global food security keep mounting, markets will hopefully enter more stable waters in the coming year in order to ensure adequate access to food for the most vulnerable.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▼
Maize	▲	▲
Rice	■	▲
Soybeans	▲	▲
	▲ Easing ■ Neutral ▼ Tightening	

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

World supply-demand outlook

- **Wheat** 2021 production trimmed further, mostly on lower estimates for Brazil and the UK, resulting in global production falling by nearly 1 percent from last year's record.
- Utilization in 2021/22 lowered on weaker feed use expectations, especially in the EU, but still rising by 2.0 percent from the previous season.
- Trade in 2021/22 (July/June) to expand by 2.2 percent from the 2020/21 level, driven by robust demand, especially from the Near East to compensate for reduced harvests.
- Stocks forecast (ending 2022) scaled up m/m but still expected to fall 1.7 percent below opening levels, with most of the drawdown concentrated among major exporters.

	FAO-AMIS			USDA		IGC	
	2020/21 est	2021/22 f'cast	2021/22 f'cast	2020/21 est	2021/22 f'cast	2020/21 est	2021/22 f'cast
		4 Nov	2 Dec		9 Nov		18 Nov
Wheat							
Prod.	776.5	770.4	769.6	774.7	775.3	773.4	777.4
Supply	642.2	633.4	632.5	640.4	638.4	639.1	640.4
Utiliz.	1056.2	1059.0	1059.1	1070.2	1063.2	1049.0	1055.8
Trade	795.3	791.5	791.6	785.9	782.2	785.7	791.7
Stocks	761.8	778.8	777.0	782.2	787.4	770.6	781.5
	620.9	636.0	634.2	632.2	638.4	624.7	635.1
	189.1	192.3	193.3	198.0	205.0	190.7	195.7
	178.3	182.8	183.8	187.4	195.0	179.7	185.1
	289.5	282.1	284.7	287.9	275.8	278.4	274.3
	159.1	148.2	150.8	143.8	134.8	150.1	146.0

in million tonnes

- **Maize*** production in 2021 raised on higher-than-earlier projected outputs in Ukraine and the US; global production is currently forecast to surpass last year's level by 3.6 percent, a new record.
- Utilization forecast for 2021/22 lifted m/m, largely on a faster rise in ethanol production in the US, now resulting in a 2.6 percent growth in world total use of maize.
- Trade in 2021/22 (July/June) to contract from the 2020/21 record by 1.8 percent, underpinned by weaker demand expected from China and Viet Nam.
- Stocks forecast (ending in 2022) scaled up and set to surpass opening levels by 2.5 percent, mostly reflecting higher inventories in China and a partial recovery in the US.

	FAO-AMIS			USDA		IGC	
	2020/21 est	2021/22 f'cast	2021/22 f'cast	2020/21 est	2021/22 f'cast	2020/21 est	2021/22 f'cast
		4 Nov	2 Dec		9 Nov		18 Nov
Maize							
Prod.	1157.8	1197.6	1199.7	1119.0	1204.6	1125.9	1211.8
Supply	897.1	924.6	926.7	858.3	931.6	865.2	939.0
Utiliz.	1456.6	1482.8	1485.5	1425.5	1496.5	1423.8	1490.0
Trade	1047.6	1056.2	1058.3	964.3	1017.8	971.4	1022.9
Stocks	1170.3	1199.9	1201.0	1133.6	1192.1	1145.6	1202.7
	886.0	906.5	907.6	848.6	898.1	857.7	907.5
	190.6	187.0	187.2	183.6	190.4	188.5	176.8
	162.0	163.0	162.2	154.1	164.4	158.8	160.3
	285.7	291.7	292.8	291.9	304.4	278.3	287.4
	131.5	135.5	135.0	86.2	93.7	83.9	99.0

in million tonnes

- **Rice** production in 2021 barely changed m/m, as upward revisions namely for Pakistan and the US compensate for less buoyant output prospects for Thailand and Bangladesh.
- Utilization in 2021/22 still seen reaching a fresh peak, with global per caput food intake envisaged to expand by 0.6 percent in 2021/22.
- Trade in 2022 (January-December) forecast to grow for the third successive year underpinned by a rebound in exports by Thailand, but also by Brazil, Myanmar and Pakistan, while Indian shipments could edge down somewhat and those of Viet Nam continue to fall.
- Stocks (2021/22 carry-out) still seen at historical highs, sustained by a fourth successive season of accumulations in the major rice exporters.

	FAO-AMIS			USDA		IGC	
	2020/21 est	2021/22 f'cast	2021/22 f'cast	2020/21 est	2021/22 f'cast	2020/21 est	2021/22 f'cast
		4 Nov	2 Dec		9 Nov		18 Nov
Rice							
Prod.	513.7	518.2	518.4	507.3	511.7	507.6	513.3
Supply	368.6	371.4	371.6	359.0	362.7	359.2	362.9
Utiliz.	699.5	705.3	705.4	689.1	699.2	687.1	694.4
Trade	450.2	456.3	456.4	424.3	433.7	428.5	437.1
Stocks	510.7	518.8	518.9	501.6	511.3	505.9	510.0
	361.5	368.5	368.6	351.0	356.4	352.7	358.5
	49.0	51.3	51.4	49.3	48.7	48.3	48.3
	44.9	47.5	47.6	44.8	44.2	44.1	44.6
	187.0	187.6	187.7	187.5	187.9	181.1	184.4
	84.8	87.5	87.6	71.0	74.9	71.6	74.8

in million tonnes

- **Soybean** 2021/22 production forecast raised marginally, with upward revisions for Brazil and India more than offsetting a lower forecast for the US.
- Utilization in 2021/22 trimmed on expectations of lower domestic crush in China, while global consumption is still forecast to grow by about 3 percent from the previous season.
- Trade forecast for 2021/22 (Oct/Sep) scaled down, mainly reflecting smaller import expectations by China.
- Stocks (2021/22 carry-out) lifted further, tied to higher forecasts for Brazil and the US, while global inventories could still fall below the average level.

	FAO-AMIS			USDA		IGC	
	2020/21 est	2021/22 f'cast	2021/22 f'cast	2020/21 est	2021/22 f'cast	2020/21 est	2021/22 f'cast
		4 Nov	2 Dec		9 Nov		18 Nov
Soybean							
Prod.	365.5	382.3	383.3	366.2	384.0	366.1	380.3
Supply	345.9	363.6	364.6	346.6	365.0	346.5	361.7
Utiliz.	420.8	432.0	432.8	461.7	484.1	417.4	434.9
Trade	381.8	389.8	390.7	415.3	430.6	367.6	384.6
Stocks	368.9	380.5	379.8	363.0	378.0	362.8	374.5
	253.9	259.3	260.0	251.4	260.3	249.5	256.5
	161.1	171.3	169.5	164.8	172.1	160.8	168.4
	61.3	69.3	69.2	65.0	72.1	65.5	69.9
	49.6	52.6	53.7	100.1	103.8	54.6	60.4
	26.1	29.8	31.2	65.6	68.1	22.8	29.6

in million tonnes

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China. To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/compare-sources>

Estimates and forecasts may differ across sources for many reasons, including different methodologies.

*The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.

For more information see Explanatory notes on the last page of this report.

Revisions (FAO-AMIS) to 2021/22 forecasts since the previous report

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-873	1055	-1826	1000	2624	2128	200	1089	225	1075
Total AMIS	-660	1000	-1696	1000	2982	2101	200	1142	925	280
Argentina	600	-	100	-	-	-	-	-	-	-
Australia	-	-	-	1000	-	-	-	-	-	-
Brazil	-502	500	-2	-	-	25	-	25	-500	-
Canada	-	-	-	-	-	-	-	-	-	-
China Mainland	-	-	-	-	-	-	1000	-	-	1546
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-80	-	-980	-	900	-27	-	573	500	-1100
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-200	-	-	-200	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-1000	1000	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-500	-	500	-	-700	-700	-	-
Ukraine	-	-	-100	1200	-	1000	-	-	1000	-
UK	-478	500	-269	-	500	-	-100	-25	-75	-
US	-	-	55	-	82	1103	-	1269	-	-166
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEAN				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	181	103	182	79	131	1004	-1800	-700	-1740	1070
Total AMIS	-302	95	-40	27	-174	1004	-1800	-700	-1740	1070
Argentina	36	-5	3	40	25	-	-	-	-200	100
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	-	-	-	1251	-	151	-650	600
Canada	-	-	-	-	-	-	-	-	-	-
China Mainland	-	-	-	-	-	-	-1700	-1400	-	-300
Egypt	-	-	-	-	-	-	-	-	-	-
EU	26	-	26	-	-	3	-	3	-	-
India	-	-	-	-	-	280	-100	80	-	100
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-100	-	-	-100
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	55	-10	20	-	35	-	-	-	-	-
Russian Fed.	-	-	-	-	-	100	-	384	-100	202
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	62	10	-72
Thailand	-529	-	-179	-	-300	-	100	100	-	-
Turkey	3	35	18	5	15	-	-	-	-	-
Ukraine	1	-	-17	3	-5	-	-	-	-	-
UK	-	-	-	-	-	-	-	-	-	-
US	105	-25	48	-25	56	-630	-	-80	-800	540
Viet Nam	-	100	40	4	-	-	-	-	-	-

World Bank

* Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

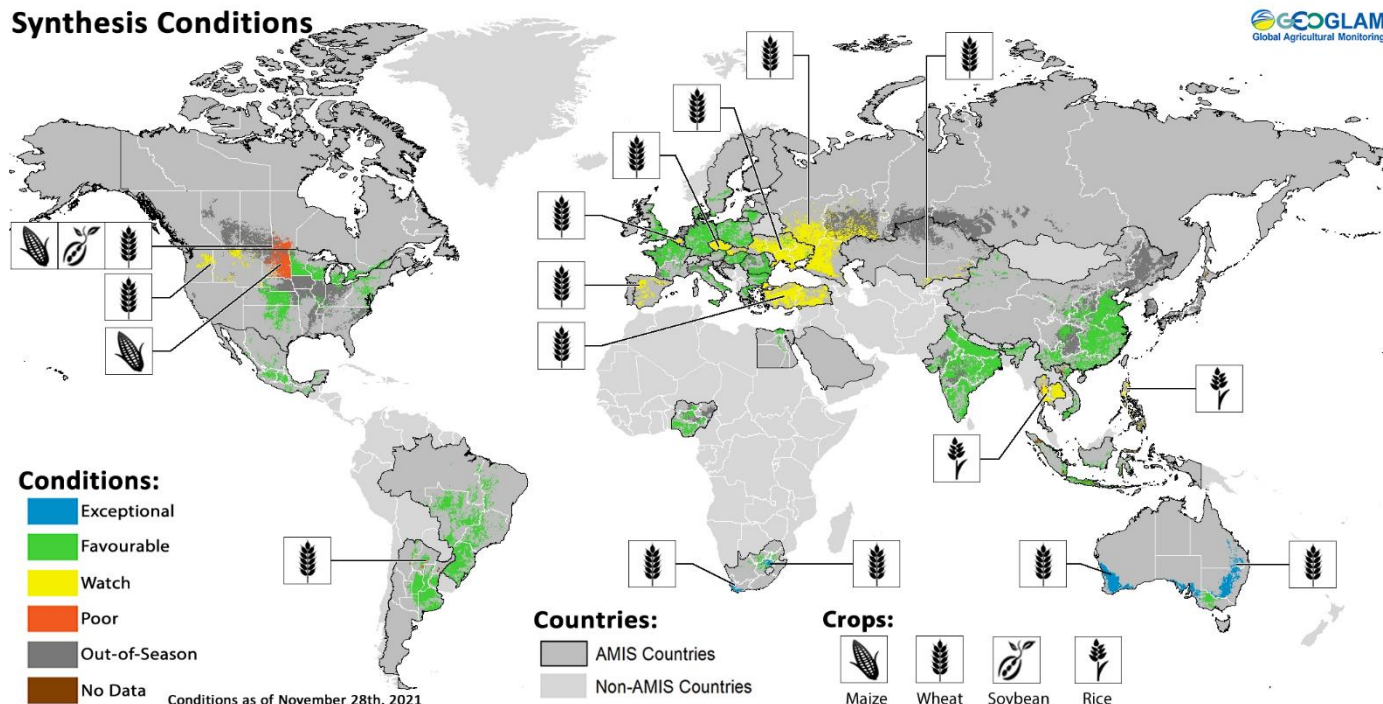
To review and compare data, by country and commodity, across three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Estimates and forecasts may differ across sources for many reasons, including different methodologies. **For more information see Explanatory notes on the last page of this report.**

Crop monitor

Crop conditions in AMIS countries (as of 28 November)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 November. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat – In the northern hemisphere, winter wheat is entering the winter months under mixed conditions in many places. In the southern hemisphere, harvesting is continuing under favourable to exceptional conditions.

Maize – Harvesting in the northern hemisphere is wrapping up while sowing in the southern hemisphere is progressing under favourable conditions.

Rice – Harvesting is wrapping up in China for late-season rice and India for Kharif rice. In Southeast Asia, wet-season rice in Thailand and the Philippines remains impacted by earlier heavy rains, while in Indonesia dry-season rice is harvesting and wet-season rice sowing continues.

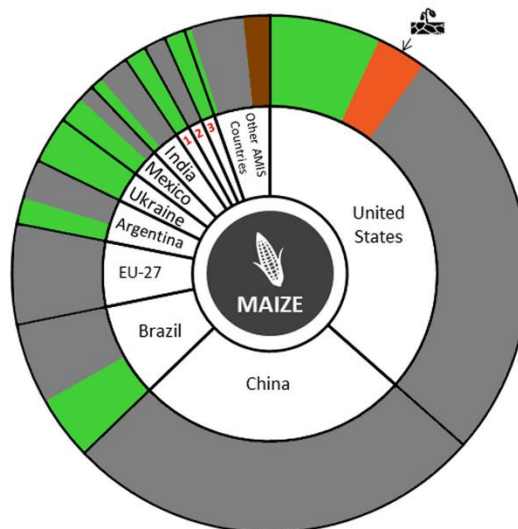
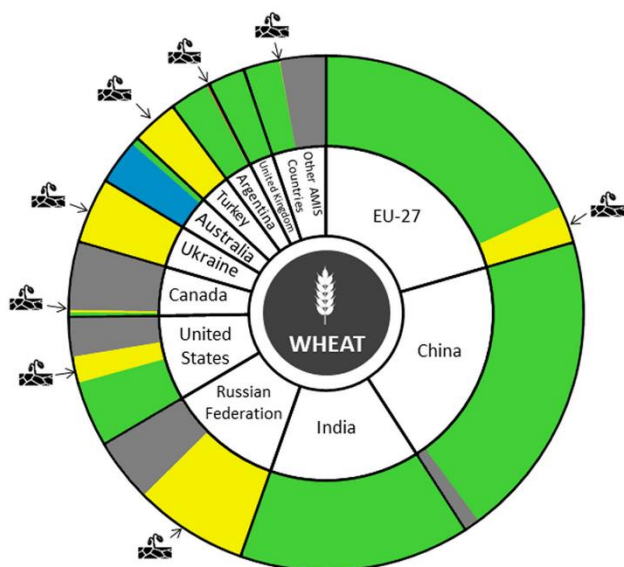
Soybeans – In the northern hemisphere, harvesting is wrapping up in Canada. In the southern hemisphere, sowing is progressing in Brazil and Argentina.

Climate Influences: La Niña advisory and Neutral Indian Ocean Dipole

The El Niño-Southern Oscillation (ENSO) is currently in the La Niña phase with NOAA CPC/IRI issuing a La Niña Advisory in October. La Niña conditions are expected to continue during December to February (92% chance) and into April (69% chance for February-March-April; 50% chance for March-April-May). Climate forecasts also anticipate exceptionally warm west Pacific Ocean conditions, which can amplify the impact of cool eastern Pacific La Niña conditions.

La Niña conditions typically increase the chances of below-average precipitation in East Africa, Central and South Asia, southern South America, the southern United States, northern Mexico, and eastern East Asia. There are elevated risks of a two-year sequence of dry conditions in these regions, associated with La Niña conditions last year and this year. La Niña conditions typically increase the chances of above-average precipitation in parts of Southeast Asia, Australia, Southern Africa, and northern South America.

The negative Indian Ocean Dipole (IOD) recently weakened to a neutral state.

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In **Argentina**, harvesting is wrapping up in the north under poor conditions, while in the main producing provinces, harvesting is beginning under favourable conditions with an increase in total sown area this season compared to last year and the 5-year average. In **Australia**, harvesting continues with conditions favourable in Victoria and exceptional in the remaining states with yields well above the 5-year average. In the **EU**, winter wheat is well established in the northern countries under favourable conditions while sowing continues in the southern countries with a few areas of dryness. In the **United Kingdom**, conditions are favourable. In **Ukraine**, conditions continue to be mixed as soil moisture deficits expand due to little rainfall over the past month. In the **Russian Federation**, winter wheat areas remain drier than average, but soil moisture levels have stabilized over the past month. In **Turkey**, sowing of winter wheat is ongoing under mixed conditions due to dryness in the central and southern regions. In **China**, conditions are favourable for winter wheat. In **India**, sowing is beginning under favourable conditions in the northern and central states. In the **US**, winter wheat is under mixed conditions due to very dry conditions in the northern and northwest growing regions. In **Canada**, winter wheat is under favourable conditions in the main producing province of Ontario, while dryness persists in the Prairies.

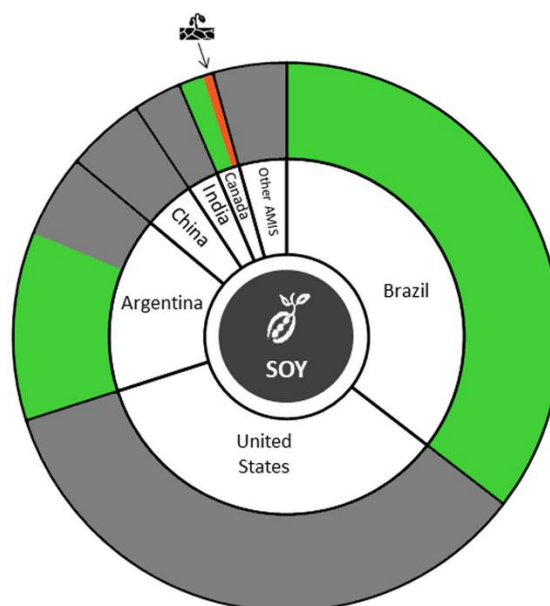
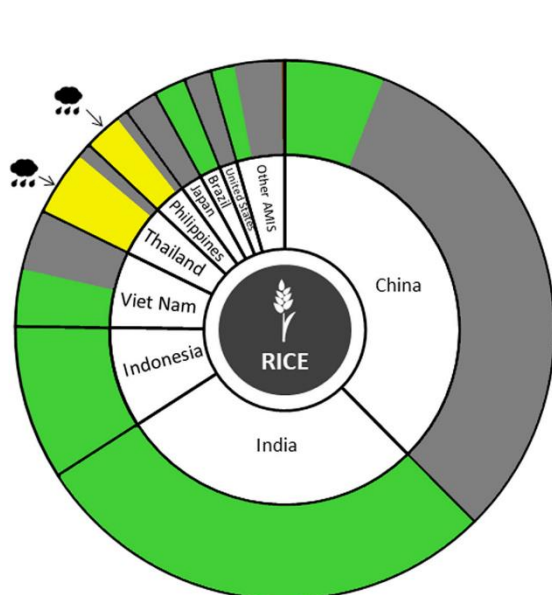
Maize

In the **US**, harvest wrapped up in the northern states under generally favourable conditions except in the Dakotas where persistent dryness has reduced yields. In **Canada**, harvesting is wrapping up under favourable conditions in Ontario and Quebec, while under poor conditions in Manitoba. In **Mexico**, harvesting of the spring-summer crop (larger season) continues under favourable conditions. In **Ukraine**, harvesting is wrapping up under favourable conditions. In **India**, sowing of Rabi season crops is beginning under favourable conditions. In **Brazil**, sowing of the spring-planted crop (smaller season) is continuing under favourable conditions with crops in the main producing South region entering the vegetative to reproductive stages. In **Argentina**, sowing of the early-planted (larger season) continues under favourable conditions. In **South Africa**, conditions are favourable with widespread rain since mid-November, supporting sowing activities across the entire main producing region.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, harvesting of the late-season crop is wrapping up under favourable conditions. In **India**, conditions are favourable in the southern and eastern regions as the harvesting of Kharif rice is wrapping up and the sowing of Rabi rice is just beginning. In **Indonesia**, conditions are favourable for dry-season rice as harvesting continues, albeit at a slower pace than last year. Sowing of wet-season rice continues under favourable conditions. In northern **Viet Nam**, wet-season rice is harvesting under favourable conditions with yields expected to be slightly above last year's. In the South, conditions are favourable for the harvesting of autumn-winter (wet-season) rice and the beginning of winter-spring (wet-season) rice sowing. In **Thailand**, wet-season rice is harvesting under mixed conditions as a result of excess rainfall and widespread flooding in the northern and northeast regions. In the **Philippines**, wet-season rice is harvesting under mixed conditions due to damage from heavy rainfall, most notably from severe tropical storm *Maring* that impacted northern parts of Luzon in October. In **Brazil**, sowing is ongoing under favourable conditions.

Soybeans

In **Canada**, harvesting is wrapping up under favourable conditions in the main producing province of Ontario, while under poor conditions in the Prairies due to drought during the growing season. In **Brazil**, sowing is continuing in the main producing regions under favourable conditions. In the Central-West (largest producing region), sowing is wrapping up and most crops are in the vegetative stage and with few areas entering the reproductive stage. In **Argentina**, sowing of the early-planted crop (larger season) is progressing under favourable conditions owing to recent rainfall.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 2 Dec 2021

Policy developments

Wheat

- On 11 November, **Brazil** became the first country to allow imports of flour made of genetically modified wheat.
- On 11 November, **Egypt** announced that the government procurement price to purchase locally produced wheat will range from EGP 800 to EGP 820/Ardeb (USD 340.55 to USD 349.07 per tonne) based on the wheat's purity level. The new procurement prices are around percent higher than those announced in March.
- On 10 November, the **Russian Federation** announced that it might revise its formula for wheat export taxes if prices continue to rise. Currently, the agricultural ministry determines the size of the tax on a weekly basis based on a formula where the tax is set at 70 percent of the difference between the reported market price and USD 200 per tonne.

Rice

- Amid a bumper domestic harvest, the **Philippines** Department of Agriculture temporarily suspended the issuance of phytosanitary import clearance for rice shipments from **Viet Nam**.

Across the board

- On 4 November, **Brazil** cited emergency circumstances related to the pandemic crisis to apply a 10 percent tariff reduction on 87 percent of all goods and services. The unilateral decision to modify the common external tariff will remain initially in place through 31 December 2022 unless it is adopted by all MERCOSUR parties.
- On 12 November, the Ministry of Agriculture in **China** published a draft document proposing regulatory changes in the approval procedures applying to genetically modified crops/seeds/maize. The draft regulations will remain open for public comment until 12 December. This could facilitate the commercial cultivation of GM maize in China.
- On 1 November, the **European Union** suspended the application of the additional 25 percent import duty on certain US products, including maize, milled and broken rice. The measure was introduced in June 2018 to counter US measures on EU steel and aluminium. The duty suspension initially applies until 1 December 2021, pending the negotiation of a longer-term solution.
- On 23 November, the **European Parliament** approved a fundamental reform of agriculture subsidies that steps up funding to smaller farms and rewards sustainable farming methods from 2023 onwards. The CAP would allocate 387 billion Euros (USD 436 billion) on payments to farmers and support for rural development. From 2023-2024,

20 percent of direct payments would be assigned to eco-schemes, rising to 25 percent in 2025-2027. A 450 million Euro crisis fund would be set up to mitigate agricultural market disruptions caused by emergency circumstances.

- On 11 November, the **Indian** Prime Minister announced that at the end of the month the government will repeal the three farm laws that were passed in September 2020 (see AMIS Market Monitor No.82).
- On 3 November, the **Russian Federation** announced a 6-month export quota on nitrogen fertilizers and complex nitrogen-containing fertilizers of 5.9 and 5.35 million tonnes, respectively, in an attempt to curb rising food prices. The quotas are equivalent to the quantity usually exported and are expected to be set for the period from 1 December 2021 until 31 May 2022.
- On 10 November, the **Russian Federation** announced that it is considering introducing grain export quota from 15 February until 30 June 2022. If introduced, the size of the quota will be determined at the end of the year based on Russia's production in 2021 and its exports since June 2021.
- On 24 November, the Ministry of Finance in **Thailand** announced plans to launch a support package worth THB 76 billion (USD 2.3 billion) to assist rice farmers amid falling market prices. Market price support will be granted if crop prices fall below a reference price set by the government. Such payments will be available as part of a wider assistance package worth THB 155 billion (USD 4.6 billion) announced by the Prime Minister, which is intended to address the impacts of COVID-19 and adverse weather conditions.
- On 15 November, **Viet Nam** announced the revision of several Most Favourable Nation (MFN) tariffs by decree 101/2021/ND-CP. Starting from 30 December, the MFN tariff for wheat will be eliminated and the import tariff for maize will be lowered from 5 percent to 2 percent.

Trade junctures, logistics, transportation

- On 15 November, **US** President Joe Biden signed the Infrastructure Investment and Jobs Act into law. The US\$1.2 trillion package authorizes funding of critical investments. The bill, to be implemented over 5 years, is expected to enhance the cost-efficiency, competitiveness and resilience of US agri-food supply chains.
- On 25 November, the **Viet Nam** Maritime Corporation (VIMC) inaugurated a container shipping route linking Viet Nam, Malaysia and India.



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Nov 2021 Average*	Change M/M	Y/Y
GOI	284	+ 1.2 %	+ 16.0 %
Wheat	303	+ 5.0 %	+ 43.1 %
Maize	279	+ 0.9 %	+ 16.0 %
Rice	166	- 1.0 %	- 10.8 %
Soybeans	261	- 1.3 %	+ 4.3%

*Jan 2000=100, derived from daily export quotations

Wheat

Solid importer buying amid supply tightness in the major exporters continued to support world wheat export prices. Uncertainty about export policy in Russia contributed to upward price pressure, however, a broad-based market sell-off amid COVID-19 fears pressured values recently. Quotations in the EU were buoyed by rapid exports, although exporter sentiment was dented by news of quality-related adjustments to Algeria's latest import tender that were more favourable to purchases of Black Sea wheats. Prospects for bumper crops in Argentina and Australia only mildly tempered upward price momentum, with untimely rains in the latter seen potentially downgrading quality in a year when premium milling wheat supplies are short at other origins. A less than ideal start for 22/23 crops in parts of the northern hemisphere added to positive price sentiment, while doubts about the availability and price of fertilizers also clouded the outlook.

Maize

A mostly firmer tone prevailed in world maize markets during November, with the IGC sub-Index rising by an average of 1 percent m/m, despite a recent retreat. In spite of expectations for a bumper crop, fob quotations in Ukraine were firmer, underscored by harvest delays, tepid producer selling interest and accelerating export activity. Average prices in Argentina also edged higher as traders looked to secure supplies in order to cover earlier sales. In Brazil, old crop values were little changed overall on average, as an uptick in grower sales and sizeable imports allayed fears about spot availabilities. In contrast, average

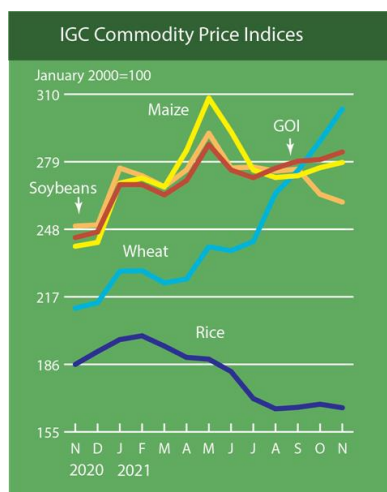
US prices turned lower on a seasonal increase in supplies and some concerns about limited overseas demand.

Rice

Average international rice prices softened m/m, amid seasonal pressure in several key exporters and subdued offshore demand. Values in Thailand declined on some early new crop arrivals and as fresh purchasing was reportedly limited, while currency movements also featured. In India, prospects for a large kharif crop weighed on sentiment, while buyers held off from concluding purchases in anticipation of further price declines as the harvest progresses over the coming weeks. Quotes in Pakistan also weakened, while offers in Vietnam were little changed as strong local demand and tightening availabilities offset weak buying interest.

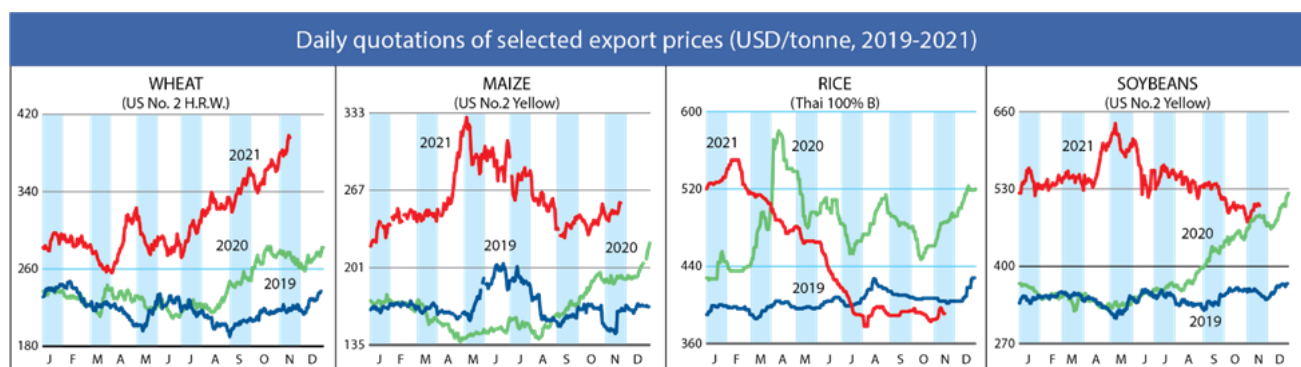
Soybeans

Average world soybean values retreated by around 1 percent during November. Background pressure stemmed from outlooks for record global production in 21/22, reflective of a sizeable US crop, together with a swift planting campaign in Brazil and talk of a potentially early start to harvesting. At times, a downturn in outside markets and weakness in soybean products were negative influences, countering support from an uptick in demand from China as processing margins improved. While being thinly quoted, spot export values in Brazil (Paranagua) retreated as prospects for a heavy crop weighed, with reports that producers were selling old crop stocks to free up space for fresh supplies.



		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2020	November	244.2	211.8	240.2	186.0	249.5
	December	246.8	214.3	242.0	191.9	250.0
2021	January	268.5	228.8	269.2	197.4	276.1
	February	268.5	229.0	271.5	199.1	272.6
	March	263.8	223.4	267.4	194.4	267.6
	April	270.4	225.2	284.2	189.2	275.3
	May	286.9	240.0	308.2	188.4	292.1
	June	275.2	238.2	292.8	182.7	276.2
	July	271.7	242.4	275.2	170.3	276.6
	August	276.1	264.6	271.8	165.6	274.7
	September	279.3	274.9	272.6	166.3	275.6
	October	280.0	288.6	276.3	167.7	264.1
	November	283.8	303.5	278.9	166.1	260.8

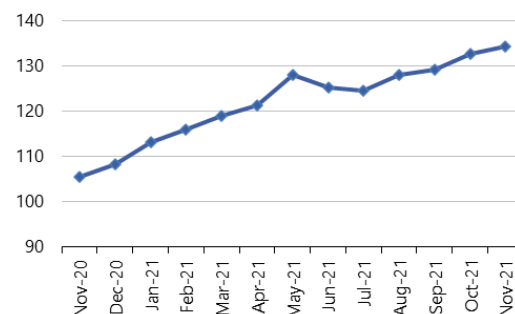
Selected export prices, currencies, and indices



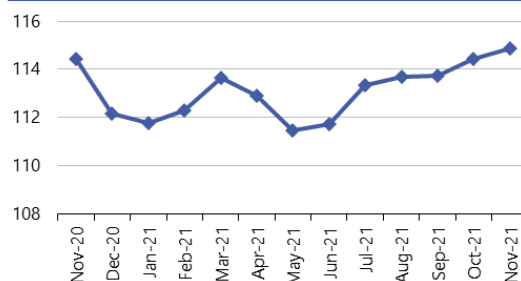
Daily quotations of selected export prices						
	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	29-Nov	389	366	263	6.3%	47.9%
Maize (US No. 2, Yellow)	29-Nov	257	248	192	3.8%	34.1%
Rice (Thai 100% B)	30-Nov	390	390	495	0.0%	-21.2%
Soybeans (US No.2, Yellow)	29-Nov	494	500	475	-1.2%	4.0%

AMIS Countries' Currencies Against US Dollar				
AMIS Countries	Currency	Nov 2021 Average	Monthly Change	Annual Change
Argentina	ARS	100.2	-1.0%	-20.3%
Australia	AUD	1.4	-1.1%	0.6%
Brazil	BRL	5.5	-0.2%	-2.1%
Canada	CAD	1.3	-0.8%	4.3%
China	CNY	6.4	0.5%	3.3%
Egypt	EGP	15.7	0.0%	-0.4%
EU	EUR	0.9	-1.5%	-3.5%
India	INR	74.4	0.7%	-0.2%
Indonesia	IDR	14,254.6	-0.6%	-0.5%
Japan	JPY	114.2	-0.9%	-8.5%
Kazakhstan	KZT	430.7	-1.2%	-0.5%
Rep. Korea	KRW	1,183.3	-0.1%	-5.8%
Mexico	MXN	20.7	-1.4%	-1.7%
Nigeria	NGN	410.2	-0.1%	-7.2%
Philippines	PHP	50.3	0.7%	-4.1%
Russian Fed.	RUB	72.4	-1.7%	5.8%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	15.4	-3.8%	0.5%
Thailand	THB	33.0	1.3%	-7.7%
Turkey	TRY	10.5	-12.0%	-23.9%
UK	GBP	0.7	-1.6%	1.9%
Ukraine	UAH	26.4	-0.2%	7.2%
Viet Nam	VND	22,674.6	0.4%	2.2%

FAO Food Price Index
Nov 2020 - Nov 2021



Nominal Broad Dollar Index
Nov 2020 - Nov 2021



Source: US Federal Reserve

Futures market (US)

Futures Prices – nearby in USD per tonne

	Nov-21 Average	Change	
		M/M	Y/Y
Wheat	296	8.2%	34.7%
Maize	225	6.4%	37.3%
Rice	306	2.2%	12.0%
Soybeans	454	0.4%	8.2%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Nov-21	Oct-21	Nov-20
Wheat	22.6%	25.1%	22.4%
Maize	19.7%	25.7%	21.3%
Rice	12.7%	12.7%	14.7%
Soybeans	17.2%	17.3%	18.6%

Future prices

Futures prices for wheat and maize rose while soybeans and rice edged negligibly higher m/m. Soft red wheat values attained a nine-year high based on quality and supply issues affecting the major exporters, as well as acute shortages of other classes of US wheat, such as dark northern spring. In typical post-harvest pattern, maize prices gained on strong domestic demand, especially for ethanol. Soybean prices also benefitted from strong domestic processing demand but were offset by lagging exports. In exogenous markets, the US dollar index rose above .96, based on expectations of rate hikes to counteract the persistent, multi-sector US inflation level. mostly trading around the USD 80 per barrel mark, but plummeted 20 percent at month-end, dragging down grain and oilseed prices, as fears around a new strain of COVID-19 resurfaced. Prices for wheat, maize, soybeans and rice remained considerably higher y/y by 34.5, 36.9, 8.2 and 11.3 percent, respectively.

Volumes and volatility

Trade volumes increased for maize and wheat but declined for soybeans m/m, while volumes for all three commodities were lower y/y. Implied volatility declined for wheat, maize and soybeans m/m and y/y. Historical volatility showed small mixed changes for the three commodities m/m and y/y. Overall, volatility levels have normalized, notwithstanding the relatively high prices.

Basis levels and transport

US domestic basis levels for maize, soybeans and wheat firmed as harvest neared completion. In Illinois, maize and soybean bids were quoted minus USD 5 per tonne and minus USD 7 per tonne under the respective December

and January futures. In Iowa maize and soybean bids were quoted at minus USD 7 and minus USD 18 under the respective futures. Gulf delivery bids were firm, quoted at USD 25 and USD 28 per tonne for maize and soybeans over respective December and January futures. While soft red wheat domestic values remained weak, quotes for delivered gulf were very firm at around USD 37 over the December futures. Barge freight on the Illinois River dropped to USD 23 per tonne receding from the multi-year high of USD 36 reached in September. Exports continued to lag with year-to-date 2021/22 wheat, maize and soybeans respective volumes trailing at 80, 92 and 75 as a percentage of 2020/21 totals for the same period.

Forward curves

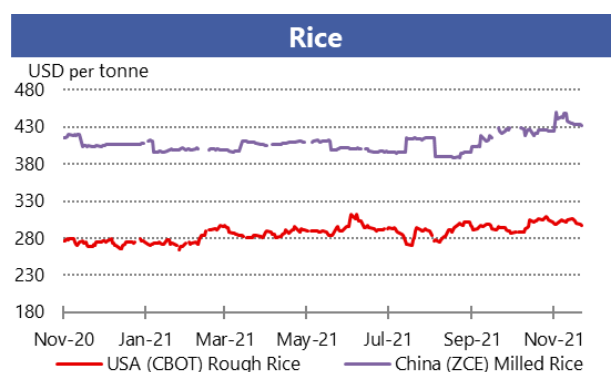
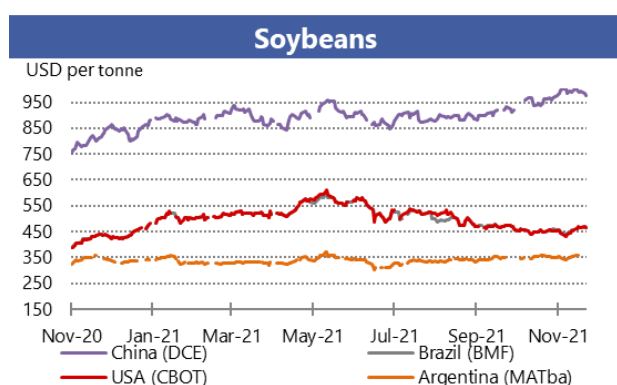
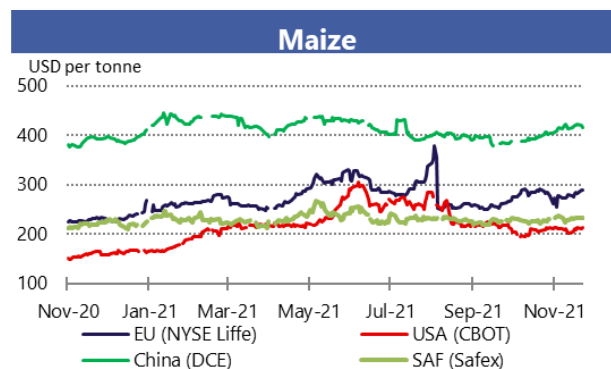
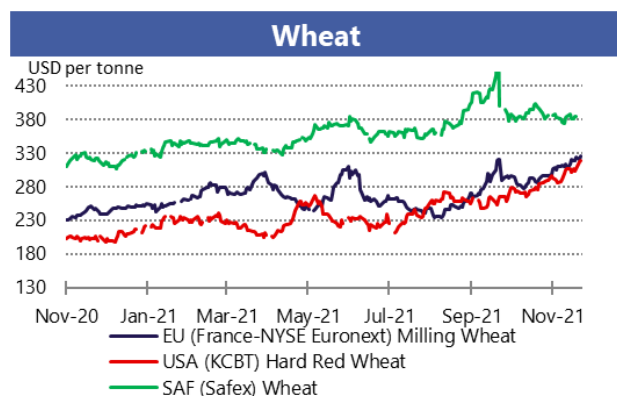
The forward curves for wheat and maize remained mostly unchanged m/m despite the continued price gains, which typically elevate the front end of the curve. Soybean curves displayed some relaxation as exports, particularly to China, disappointed. All three commodities maintained a combination of contango and backwardation for 2021/22, signaling tightness in the fourth quarter of the respective crop years.

Investment flows

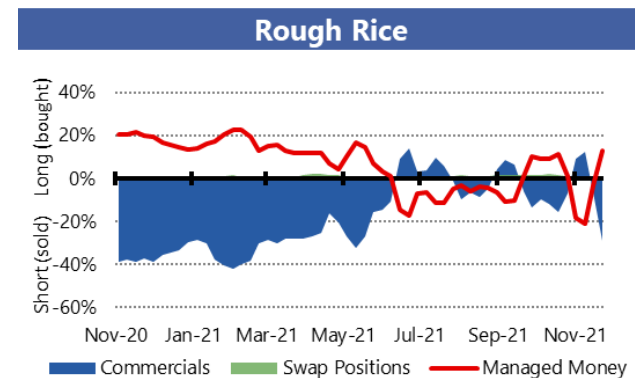
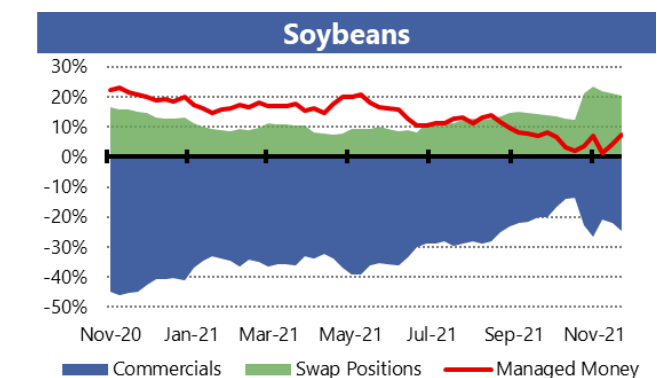
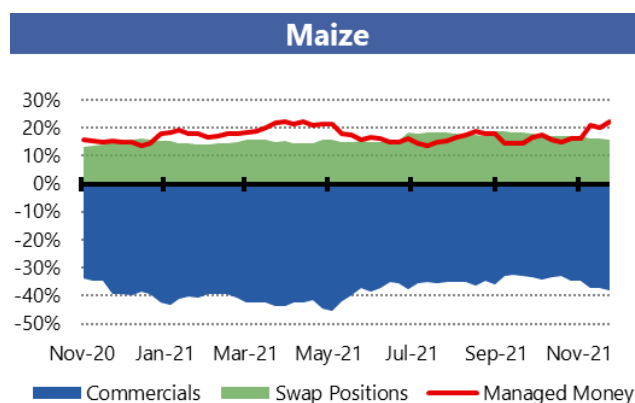
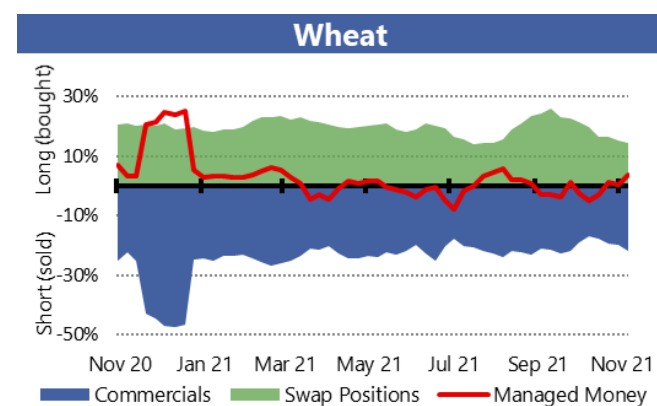
Managed money built a modest net long position in wheat after standing aside for most of the calendar year. It continued holding its large net long in maize while keeping a small net long position in soybeans. Swaps dealers, sometimes described as "massive passives," displayed some unusual repositioning, as they significantly diminished their net long in wheat while increasing their net long in soybeans by over 50 percent m/m. Commercials extended their large net shorts in all three commodities.

Market indicators

Daily quotations from leading exchanges - nearby futures

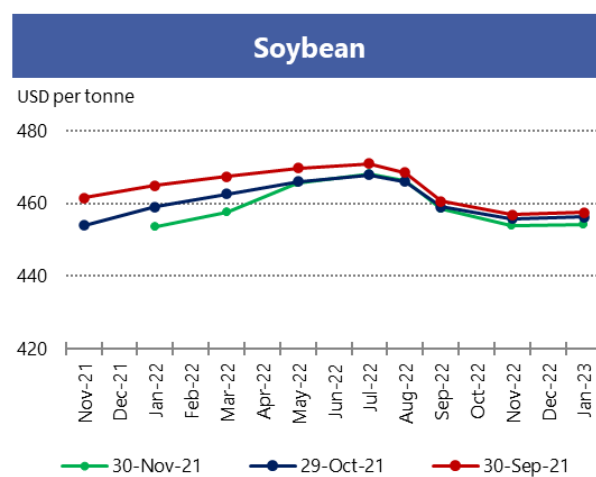
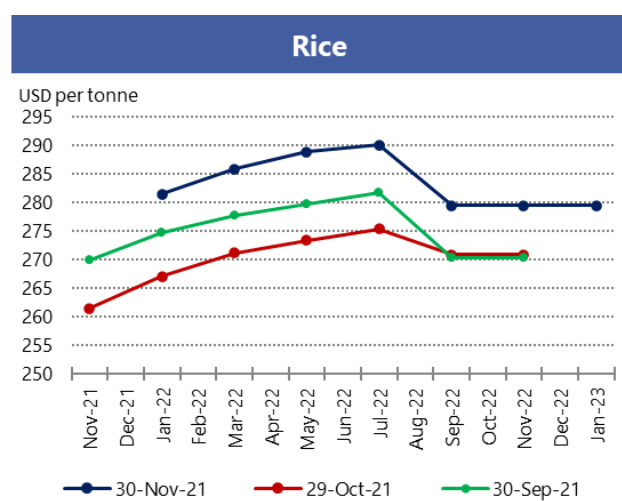
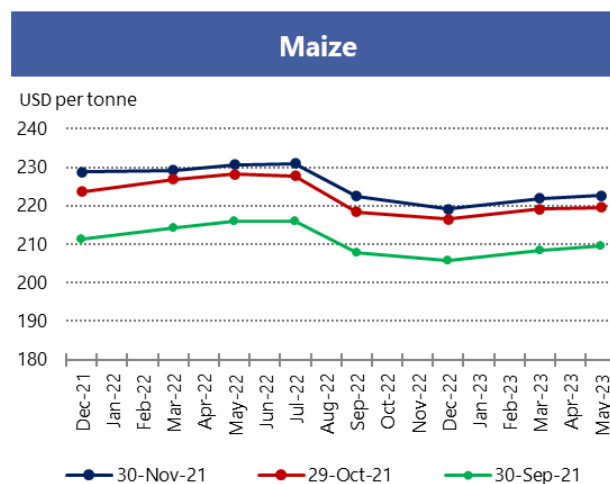
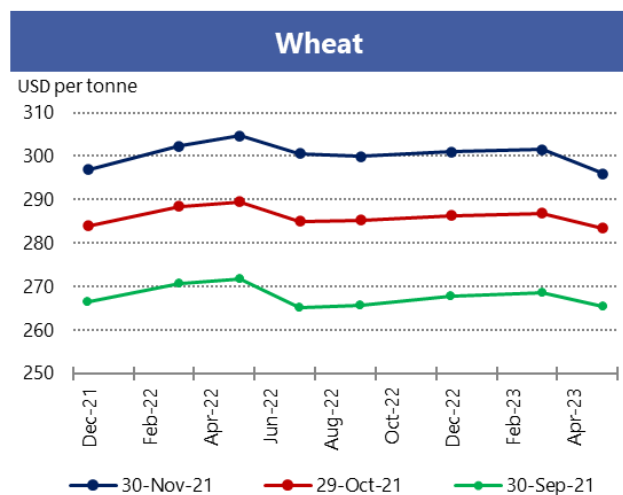


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

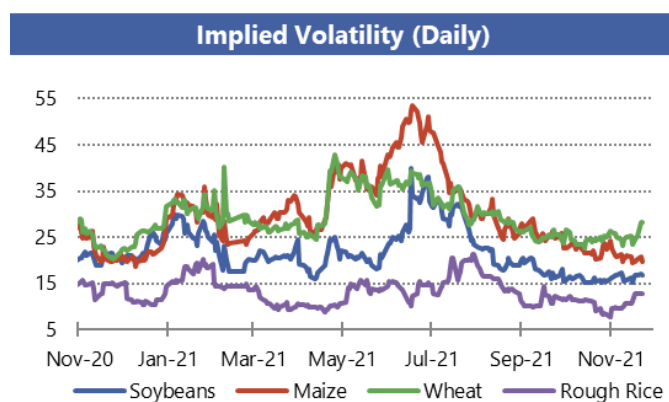
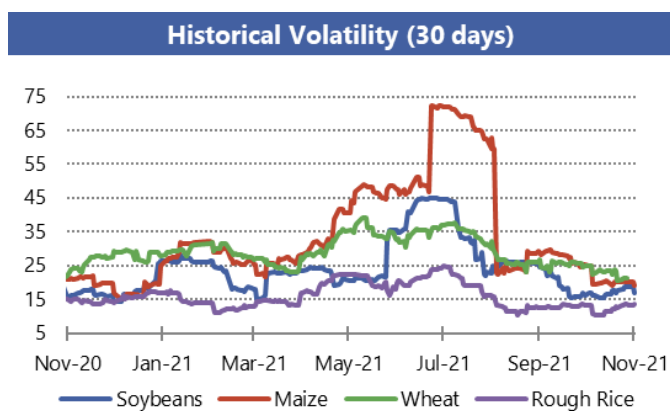


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities

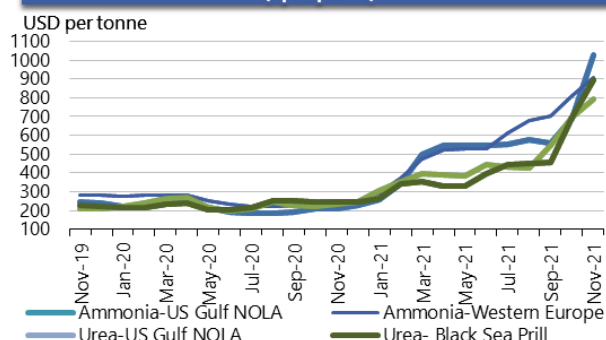

AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

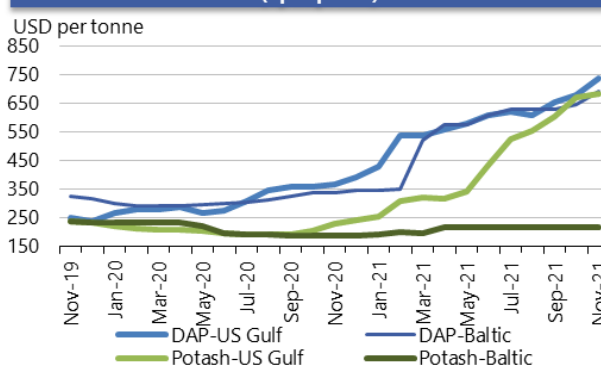
*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

Fertilizer outlook

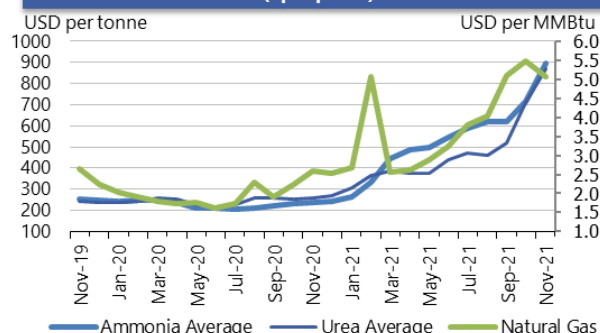
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



Note: Natural gas is used as major input to produce nitrogen-based fertilizers. Own elaboration based on Bloomberg.

Most fertilizer prices continued their sharp increase in November driven by ongoing high natural gas prices, COVID-19-related supply disruptions, and export restrictions recently introduced by major exporters.

- **Natural gas** prices decreased slightly m/m but remain high.
- **Ammonia** prices increased sharply due to high demand from Europe, where production continued to be constrained by high natural gas prices and paused production from U.S. Gulf nitrogen plants during the previous month.
- **Urea** prices significantly increased due to supply shortages concerns, as Russia and China recently announced measures to reduce their exports, plus ongoing high natural gas prices that are hindering European producers.
- **DAP** prices rose following strong demand in South and Southeast Asia and export restrictions in China and Russia, which have further tightened global supplies.
- **Potash** prices increased slightly in the U.S. Gulf due to continued tight stocks.

	November average	November std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	1,030.0	-	49.6%	383.6%	1,030	231
Ammonia-Western Europe	907.0	-	11.7%	262.8%	907	255
Urea-US Gulf	792.3	36.7	13.8%	235.0%	792.3	247.0
Urea-Black Sea	894.0	32.9	28.4%	264.9%	894.0	245.0
DAP-US Gulf	738.3	7.6	8.5%	101.9%	738.3	392
DAP-Baltic	691.7	14.4	6.7%	103.4%	692	345
Potash-Baltic	220.0	-	0.0%	15.8%	220.0	190
Potash- US Gulf NOLA	685.0	-	1.8%	199.5%	685.0	242
Ammonia	894.7	35.1	25.3%	279.0%	894.7	243.3
Urea	869.5	29.1	22.7%	236.2%	869.5	268
Natural Gas*	5.1	0.3	-7.4%	96.0%	5.5	2.5

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg

i Chart and tables description * Estimated using available weekly data to date.

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

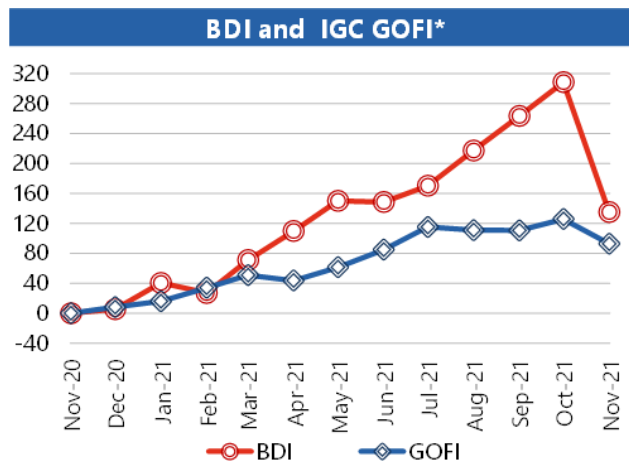
	November-21 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	2774.8	-42.4%	+135.1%
<i>sub-Indices:</i>			
Capesize	3609.0	-53.7%	+127.2%
Panamax	2910.3	-28.1%	+126.7%
Supramax	2399.6	-30.6%	+158.0%
Baltic Handysize Index (BHSI)**	1669.8	-17.3%	+178.2%

Sources: Baltic Exchange, IGC.

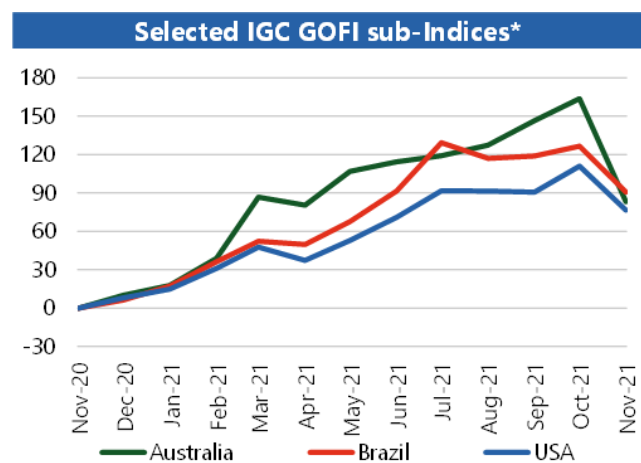
*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	November-21 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	218.8	-14.6%	+92.8%
<i>sub-Indices:</i>			
Argentina	278.9	-9.9%	+98.5%
Australia	132.2	-30.5%	+83.1%
Brazil	279.8	-15.9%	+90.6%
Black Sea	247.9	-14.0%	+108.0%
Canada	174.7	-12.4%	+84.4%
Europe	199.7	-9.8%	+97.4%
US	168.8	-16.3%	+76.5%



*percentage change based on monthly average values



- The past month witnessed a steep drop in dry bulk freight rates as markets continued to retreat from an early-October 13-year peak. Reflecting this, average **Baltic Dry Index (BDI)** values nearly halved over the period, reaching their lowest level in seven months.
- Declines in timecharter rates were led by a steep 54 percent decline in the **Capesize** market, where sentiment was pressured by softening iron ore demand and easing port congestion in China against the backdrop of reduced domestic steel production. The negative tone was amplified by ideas that Chinese coal imports could fall short of expectations owing to improvements in domestic power and coal supplies after initial shortages. Nonetheless, the market saw a strong rebound in the second half of the month on signs of a pick-up in iron ore exports from the main origins and reports of new weather-related logistical issues at Chinese ports.
- China's renewed interest in grains and oilseeds purchases – including for Ukrainian maize, US

soyabeans and Australian wheat – buoyed prices in other dry bulk sectors. Still, with slowing activity at most loading areas, coupled with plummeting Capesize earnings and easing rates in the container market, average **Panamax**, **Supramax** and **Handysize** values all posted double-digit losses. However, an upturn in activity out of the US Gulf and fresh coal enquiries in the Pacific offered some support more recently.

- In the Handysize segment, shipping activity out of South America was supported by slightly improved water levels on the Parana River following recent rains, although some sources suggested that logistical bottlenecks could persist until at least the beginning of 2022.
- In spite of recent weakness across all major origins, voyage freight rates (including fuel costs) within grains and oilseeds carrying sectors remained at elevated levels, with average **IGC Grains and Oilseeds Freight Index (GOFI)** values around twice as high year-on-year.



Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, OECD, Reuters, USDA, US Federal Reserve, WTO

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2022 AMIS Market Monitor Release Dates

February 3, March 3, April 7, May 5, June 2, July 7, September 8, October 6, November 3, December 8

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